IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P. (CAA) No. 56/BB/2017
Under Section 230 to 232 of the Companies Act, 2013
Order delivered on: 28th **March, 2018**

IN THE MATTER OF SECTIONS 230 AND 232 OF COMPANIES ACT, 2013
AND
THINK & LEARN PRIVATE LIMITED
AND
IN THE MATTER OF AMALGAMATION OF
ZEUS EDUCATION PRIVATE LIMITED

Think & Learn Private Limited
Regd. Office No. 23, 1st Floor
"Indraprastha Equinox"
Inner Ring Road, Koramangala
Bengaluru-560034 - **Petitioner / Transferee Company**

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Parties Present : 1. Saji P. John, Sr. Advocate
ALMT Legal
2 Lavelle Road, Bangalore 560001

2. Smt. MR Sinchana, Standing Counsel
Standing Counsel for ROC, Karnataka and RD

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) –** Author

Heard on: 03.10.2017, 17.11.2017, 08.12.2017, 08.01.2018, 29.01.2018, 06.02.2018 09.02.2018 and 23.02.2018

O R D E R

The Petitioner Company has sought sanction of Scheme of Amalgamation of Zeus Education Private Limited, falling under the jurisdiction of NCLT, Mumbai Bench with Think & Learn Private Limited. **Zeus Education Private Limited** is the **Transferor Company** while the Petitioner **Think & Learn Private Limited** is the **Transferee Company.**

The averments made in the Company Application are briefly described hereunder:-

Think & Learn Private Limited (Petitioner/Transferee Company) was incorporated on 30th November, 2011 under the provisions of Companies Act, 1956, having CIN No. **U80903KA2011PTC061427** and is presently having its Registered Office at **No. 23, 1st Floor, 'Indraprastha Equinox', Inner Ring Road, Koramangala, Bangalore 560 034, Karnataka.**

The petition is filed by the Petitioner Company to obtain sanction of this Hon'ble Tribunal to the Scheme of Amalgamation of Zeus Education Private Limited (Transferor Company) with Think & Learn Private Limited (Transferee Company). The Scheme of Amalgamation is produced herewith and marked as **Annexure-A.**

The Authorised, Issued, Subscribed and Paid-up share capital of the Petitioner Company (Transferee Company) as on 1st Sept., 2017, was as follows:

Authorised Capital	**Amount Rs.**
40,38,236 Equity Shares of Rs. 10/- each	4,03,82,360
5,16,000 Series A CCCPS of Rs. 10/- each	51,60,000
2,07,386 Series B CCCPS of Rs. 10/- each	20,73,860
1,10,000 Series C CCCPS of Rs. 10/- each	11,00,000
1,30,000 Series C1 CCCPS of Rs. 10/- each	13,00,000
77,123 Series C2 CCCPS of Rs. 10/- each	7,71,230
1,92,255 Series D CCCPS of Rs. 10/- each	19,22,550
1,70,000 Series E CCCPS of Rs. 10/- each	17,00,000
61,000 Series E1 CCCPS of Rs. 10/- each	6,10,000
14,000 Series E2 CCCPS of Rs. 10/- each	1,40,000
Total	**5,51,60,000**
Issued, Subscribed and Paid-up Capital	**Amount Rs.**
13,98,412 Equity Shares of Rs. 10/- each	1,39,84,120
5,15,822 Series A CCCPS of Rs. 10/- each	51,58,220
2,07,386 Series B CCCPS of Rs. 10/- each	20,73,860
92,904 Series C CCCPS of Rs. 10/- each	9,29,040
1,27,401 Series C1 CCCPS of Rs. 10/- each	12,74,010
77,123 Series C2 CCCPS of Rs. 10/- each	7,71,230
1,92,255 Series D CCCPS of Rs. 10/- each	19,22,550
1,66,347 Series E CCCPS of Rs. 10/- each	16,63,470
60,627 Series E1 CCCPS of Rs. 10/- each	6,06,270
1,945 Series E2 CCCPS of Rs. 10/- each	19,450

Total	**2,84,02,220**

The Main Objects of the Petitioner/Transferee Company as set out in its Memorandum of Association inter alia includes, as follows:

i.) To carry on the business of both formal and informal education to train students in both India and abroad for various educational programs including training for all competitive examinations as well, research and development of products and teaching aids to supplement education in K-12 and higher studies. To enhance education by developing products using latest technology tools using different mediums including internet, satellite, television, mobiles and tablet PCs, etc.

As per the audited balance sheet made up to 31st March, 2016, the summarized position of the assets and liabilities of the Petitioner Company was as follows:

Liabilities	Amount Rs.	Asset	Amount Rs.
Share Capital	2,32,94,500	Non-current Assets	56,70,29,978
Reserves and Surplus	2,73,61,85,660	Current Assets	2,90,11,74,440
Liabilities	18,58,63,929		
Current Liabilities	52,28,60,239		
Total	3,46,82,04,418	Total	3,46,82,04,418

A copy of the said Audited Accounts as at 31st March, 2016 is enclosed and marked as **Annexure-C.**

As per the provisional unaudited balance sheet made up to 31st March, 2017, the summarized position of the assets and liabilities of the Petitioner Company was as follows:

Liabilities	Amount Rs.	Asset	Amount Rs.
Share Capital	2,74,53,050	Non-current Assets	150,62,16,913
Reserves and Surplus	701,18,07,160	Current Assets	606,83,22,960

Liabilities	13,36,20,383		
Current Liabilities	40,16,59,280		
Total	757,45,39,873	Total	757,45,39,873

A copy of the said Audited Accounts as at 31st March, 2016 is enclosed and marked as **Annexure-D.**

Zeus Education Private Limited (Transferor Company) was incorporated on 11th May, 2015 under the Companies Act, 2013 as a private limited Company with the Registrar of Companies, Maharashtra at Mumbai under the name an style "Zeus Education Private Limited" with registration No. **U74900MH2015PTC264350**. The Transferor Company is in the business of online education. An up-to-date copy of the Memorandum and Articles of Association of the Transferor Company is enclosed and marked as **Annexure-E.**

The Registered Office of the Transferor Company is situated at Office No. D, Yashodhan Building, 1 Chandavarkar Road, Borivali West, Mumbai City, Maharashtra.

The authorised, issued, subscribed and paid-up share capital of the Transferor Company as on 1st Sept., 2017 was as follows:

Authorised Capital	**Amount Rs.**
50,000 equity shares of Rs. 10/- each	5,00,000
Issued, Subscribed and Paid-up Capital	**Amount Rs.**
10,000 equity shares of Rs. 10/- each fully paid up	1,00,000

The main objects of the Transferor Company as set out in its Memorandum of Association are, inter alia, as follows:

To carry on in India or elsewhere the business to provide information, guidance, statics relating to exams, courses, studies etc., to students through internet, establish, promote, subsidize, encourage, provide, maintain, organise, undertake, manage, equip, develop, operate, content/curricula/products for students, schools and colleges where general, science, commercial, engineering, medical and other

types of education be imparted to students in any format whatsoever; and to conduct art of acting, etc.

As per the audited balance sheet made up to 31st March, 2016, the summarized position of the assets and liabilities of the Transferor Company was as follows:

Liabilities	Amount Rs.	Asset	Amount Rs.
Share Capital	1,00,000	Non-current Assets	60,74,808
Reserves and Surplus	(30,866)	Current Assets	22,299
Non-Current Liabilities	--	Misc. expenses	28,243
Current Liabilities	60,56,216		
Total	61,25,350	Total	61,25,350

A copy of the said Audited Accounts as at 31st March, 2016 is enclosed and marked as **Annexure-E.**

As per the provisional unaudited balance sheet made up to 31st March, 2017, the summarized position of the assets and liabilities of the Transferor Company was as follows:

Liabilities	Amount Rs.	Asset	Amount Rs.
Share Capital	1,00,000	Non-current Assets	71,78,066
Reserves and Surplus	-69,404	Current Assets	22,922
Non-Current Liabilities	Nil	Misc. Expenses	25,105
Current Liabilities	72,63,336		
Total	72,93,932	Total	72,93,932

A copy of the said provisional un-audited Balance Sheet as at 31st March, 2017 is enclosed and marked as **Annexure-F.**

The Board of Directors of the Petitioner Company has approved and adopted the Scheme of Amalgamation of Zeus Education Private Limited with Think & Learn Private Limited at its meeting held on 10th January, 2017. The extract of the Board Resolution is produced herewith as **Annexure-H.**

The benefits sought to be achieved by the Amalgamation is as follows:

1. The amalgamation would help the Transferee Company to achieve higher efficiency in operations and management;
2. The business of Transferor Company includes online education. The Transferee Company is engaged in the business of providing training and running coaching classes in conventional classrooms via V-SAT medium, tablets, other electronic media or otherwise for various competitive and entrance examinations including, but not limited to, CAT and other MBA entrance examinations, CET, AIEEE, IIT-JEE and other civil service examinations, CSAT, GRE, GMAT, SAT etc., research and development of products and teaching aids to supplement education in K-12 and higher studies. Amalgamation of the Transferor Company with the Transferee Company would exploit tremendous synergies in operations of the two companies, which would also lead to significant cost savings and enhance management effectiveness and control of operations.
3. The amalgamation would help the Transferee Company to expand its business and to achieve higher efficiency in operations and management; and
4. Amalgamation of the two entities would further improve financial management including cash flows and working capital limits.

It is further averred that no investigation proceedings are pending against the Petitioner Company under Sections 235 to 251 or any other provisions of the Companies Act, 1956 or Sections 206 to 229 of the Companies Act, 2013.

The Transferee Company holds 23% shares in the Transferor Company. On amalgamation of the Transferor Company with the Transferee Company, no shares of the Transferee Company shall be allotted in respect of the holding of the Transferee Company in the Transferor Company and the share capital of the Transferor Company in the Transferee Company shall stand cancelled and the investment in Transferee Company to such extent will be reduced.

It is respectfully submitted that, the Petitioner Company filed Company Application No. CAA 45/BB/2017 before this Hon'ble Tribunal seeking for the convening of the shareholders and Unsecured Creditors meeting for approving the

Scheme of Amalgamation and for dispensation of holding the creditors meeting. This Hon'ble Tribunal, by its order dated 24th July, 2017 allowed the Company Application and directed the Petitioner Company to convene the meetings of the Shareholders and Unsecured Creditors and dispensed with the convening of the Secured Creditor's meeting. Copy of the order is produced herewith and marked as **Annexure-M.**

It is submitted that notices of the said meetings were sent individually to each of the Equity Shareholders and the Unsecured Creditors of the Petitioner Company as required by the order together with a copy of the statement under Section 230 (3) of the Companies Act, 2013, Scheme of Amalgamation and a form of proxy in MGT-11. The notice of the meetings also published in the "The Hindu" and "Udayavani" both dated 1st August, 2017. The notices were issued to Regional Director, South Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, Karnataka, the Income Tax Officer, Official Liquidator. The Petitioner Company craves leave to refer to and rely upon the Affidavit dated 24th August, 2017 of Mr. Byju Raveendran, Director of the Petitioner Company, proving service of the said notices and convening the meetings of the Shareholders and the Unsecured Creditors of the Petitioner Company.

On 1st Sept., 2017 the meeting of the Shareholders and Unsecured Creditors of the Petitioner Company was duly convened in accordance with the said order of this Tribunal and Mr. Byju Raveendran, Director of the Petitioner Company, who was appointed by this Tribunal to act as Chairman of the said meeting presided over the same. The said Mr. Byju Raveendran, has reported the result of the meetings of the Equity Shareholders and the Unsecured Creditors to this Tribunal on 4th Sept., 2017. A copy of the Chairman's report in respect of the Petitioner Company is enclosed and marked as **Annexure-N.**

The Equity Shareholders' meeting was attended by 6 Equity Shareholders. It was proposed that the below-mentioned sub-clauses of Clause 12 of the Scheme of Amalgamation approved by the Board on 10th January, 2017 be modified for the sake of clarity:

"The Transferee Company shall, record all the assets and liabilities, of the Transferor Company pursuant to this scheme in accordance with the accounting standards specified under section 133 of the Act read with the rules made thereunder and other generally accepted accounting principles as applicable".

It is further submitted by Counsel for Petitioner that the Accounting treatment provided under the Scheme is in compliance with Section 133 of the Companies Act, 2013 and the other accepted accounting policies. The Certificate of Chartered Accountant M/s. Delloitte Haskins & Sells LLP, Bangalore to this effect is furnished as **Annexure-P** and has certified as follows:

"Based on our examination and according to the information and explanations given to us, we are of the opinion that the accounting treatment contained in Clause 12 of Part III of the Scheme in terms of the provisions of Sections 230 to 232 of the Companies Act, 2013, is in compliance with the applicable Accounting Standards notified under Section 133 of the Companies Act, 2013, read with the rules made thereunder, and other Generally Accected Accounting Principles, as applicable".

The Petitioner Company respectfully submit that it is an unlisted company. Further, there are no investigation proceedings pending against the Transferor Company and Transferee Company under the Companies Act, 1956 and Companies Act, 2013.

It is averred this Tribunal vide its order dated 03.10.2017, directed the Petitioner Company to serve notice to Central Government, Regional Director, Southern Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, Karnataka and IT Dept. and also ordered for publication in The Hindu, English Daily newspaper, Bangalore Edition and Udayavani, Kannada Daily newspaper, Bangalore Edition. The responsibility for serving the notice was given to the Counsel of the Petitioner to collect the notices and serve on the concerned authorities. This is in line with the request made by the Advocate of the Petitioner on 03.10.2017.

ROC, Karnataka, has submitted the report on 24.10.2017 vide his letter ROCB/CAA/56/17 dated 24.10.2017 and submitted to this office on 25.11.2017 vide Sl. No.2698. The ROC, Karnataka report contained the following:

1.	Complaints, if any, against the companies under reference.	Complaint filed in Serious Complaint e-form vide SRN.J00023958 dated 03.10.2017 by A.J. Enterprises (Copy enclosed)
2.	Is there amalgamation / arrangement clause in the Memorandum of Association of the company(s)	Yes, Transferor Company: At Clause 14 of Part-B of the MoA Transferee Company: At Clause 21 of Part-B of the MoA
3.	Whether any compounding or condonation of delay is pending	Nil
4.	All documents attached to e-forms (Form MGT-7 and AOC-4 are legible/complete)	All documents are legible and complete
5.	Details of filing of Board Resolution approving scheme in terms of Sec. 179 (3) (i) read with Sec. 117 (3) (g) of the Companies Act, 2013 with ROC	Since both the Transferor Companies and the Transferee Companies are Private Companies, Sec. 179 (3) r.w.s. 117 (3) (g) do not applicable to them
6.	Clause of Accounting Treatment	Yes. At Clause No. 12 of the Scheme of Amalgamation, Transferee Company shall account for amalgamation in accordance with the "Pooling of Interest Method of Accounting" laid down by AS-14 (Accounting for Amalgamation)
7.	Observation, if any	1. GNL-1 not filed by the Transferor & Transferee Company. 2. Complaint filed in Serious Complaint e-form vide SRN.J00023958 dated 03.10.2017 by AJ Enterprises (copy enclosed) against the Transferee Company. 3. The Transferor Company has not attached list of shareholders to e-form MGT-7 for the FY 2015-16. However, as per annexure-1 of Form MGT-9 attached to the e-form MGT-7 for the FY 2015-16, it is noticed that the Transferee Company as stated at Cklause No.14.1 of the Scheme. 4. Transferee Company's Authorised

		Capital does not have Preference Shares of Series E CCPS Series E1 CCPS in it account. However, Transferee Company allotted the above said shares on 02.08.2017 & 23.08.2017 (List of allottees enclosed). The Petition may be decided on merits.

A.J. Enterprises has made a complaint that an amount of Rs. 5,37,000/- is due to them as on 31.05.2017. The Petitioner Company is required to examine and sort out the issue including the status of complaints in the Directors Report for the year ended 31st March, 2017. However, Mr. Riju Ravindran, Director of M/s. Think & Learn Private Limited, has made a notarised affidavit dated 5th January, 2018, the following submission, on the ROC Report:

In respect of the 1st observation in the ROC Report that, ***"The Transferor and Transferee Companies have not filed GNL-1"***, it is submitted that, the GNL-1 Forms were filed by the Transferor Company and the Transferee Company for the original scheme of amalgamation and also for the amended scheme of amalgamation. The forms along with the relevant payment challans are furnished hereto and are marked as Annexure-1.

In respect of the 2nd observation in the ROC Report that, *"Serious complaint e-form filed vide SRN J00023958 dated 03.10.2017 by AJ Enterprises against Transferee Company"*, it is submitted that, the said complaint is wrongly filed in respect of the Transferee Company. The Transferee Company is not at all a party to the alleged transactions. It is submitted that on 29th June, 2017, there was a Business Transfer Agreement (BTA) executed between Pearson India Education Services Private Limited and Specadel Technologies Private Limited for the purchase of specific portions of the business of Pearson India Education Services Private Limited being (i) Eudrite Online Content Sale Business and (ii) Tutor Vista Online Tutoring Business. It is further submitted that as per the terms of the BTA, only specified assets and liabilities relating to aforementioned businesses were transferred from Pearson India Education Services Private Limited to Specadel Technologies Private Limited which

is a subsidiary of the Transferee Company (Think & Learn Pvt. Ltd.). As per information received from Specadel Technologies Private Limited, the liability relating to outstanding claims made by AJ Enterprises does not form a part of the liabilities transferred to it. With respect to the ROC Report it is submitted as follows:

(a) Firstly, the BTA was between Pearson India Education Services Private Limited and Specadel Technologies Private Limited, which is a subsidiary of the Transferee Company. Hence, without admitting to the claims in the complaint, a claim, if any, should be made to the parties to the BTA and is not maintainable against the Transferee Company, which was not a party to the BTA, in any manner whatsoever;

(b) The claimant alleges that there was an amalgamation between Pearson Education Services Private Limited and Think & Learn Private Limited. This is factually incorrect on two counts viz.,

(i) Think & Learn Private Limited was not a party to the business transfer and has not executed the BTA;

(ii) The transaction was in the nature of a business transfer and not an amalgamation, and only specified liabilities were transferred to Specadel Technologies Private Limited, which is only a subsidiary of the Transferee Company. As per information received from Specadel Technologies Private Limited, the liability relating to outstanding claims made by AJ Enterprises does not form a part of the liabilities transferred to it;

(c) It is further submitted that from the complaint filed it is understood that the claimant has admitted to having issued a No Dues / Full and Final Settlement Letter with respect to the claim made and is now back-tracking on questionable grounds of a day's delay in receipt of payment. Claims if any, should be made with the relevant entity. It is reiterated that neither Think & Learn Private Limited nor its subsidiary, Specadel Technologies Private Limited is in any way related to the alleged claim.

From the above, it is submitted that ROC Report is not maintainable against the Transferee Company in any manner whatsoever and hence, we seek that

the same be dis-regarded for considering the Scheme of Amalgamation between the Transferor and the Transferee Company. Without prejudice, it is further submitted the findings of the said complaint would have no bearing upon the present scheme of amalgamation as the Transferee Company would be continuing even upon sanction of the Scheme of Amalgamation. Only the Transferor Company have already exercised their vote in respect of the Scheme of Amalgamation.

Regarding 3rd observation in the ROC Report that *"The Transferor Company has not attached list of shareholder to e-form MGT-7 for FY 2015-16. However, as per the Annexure I of Form No. MGT 9 attached to the e-form MGT-7 for the FY 2015-16, it is noticed that the Transferee Company is not holding 23% shares in the Transferor Company as stated at Clause No.14.1 of the Scheme"*, it is submitted that, the Transferee Company became a shareholder of the Transferor Company pursuant to a transfer of 2,300 equity shares on July 18, 2016. As such, the MGT-7 filed for the FY 2015-16 does not reflect the transfer. However, the MGT-7 along with relevant payment challan for FY 2016-17 filed with MCA reflects the transfer of shares to the Transferee Company and also reflects the Transferee Company as a shareholder holding 23% equity shares. The said Form MGT-7 along with its payment challan and the extract of the Board Meeting held on July 18, 2016, furnished herein as Annexure-2.

Regarding the 4th observation in the ROC Report that *"Transferee Company's Authorised capital doe not have Preference Share of Series AE CCPA Series E1 CCPS in its Account. However, Transferee Company allotted the above said shares on 02.08.2017 & 23.08.2017"*, it is submitted that, before each of the allotments of Series E Compulsorily Convertible Preference Shares (CCPS) on 02.08.2017 and the allotment of Series E1 CCPS on 23.08.2017, Clause V of the Memorandum of Association of the Transferee Company was amended and relevant form SH-7s were filed. The relevant Forms SH-7s along with the payment challan are furnished herein as Attachment 3.

M/s. Deloitte Haskins & Sells LLP, Chartered Accounts, Deloitte Centre, Anchorage II, 100/2, Richmond Road, Bangalore 560 025, is also directed to investigate the outstanding dues of M/s. AJ Enterprise and get the issue appropriately covered in the next audit report for necessary action by the

Management. The Petitioner Company is also directed to provide a copy of this order to their Statutory Auditors to get the matter audited and appropriately disclosed in the accounts.

RD has also submitted its report dated 31.10.2017 and the same is stated as follows:

(a) The Transferor and Transferee Companies have not filed form GNL-1, which may be complied with;

(b) A complaint filed in Serious complaint e-form vide SRN.J00023958 dated 03.10.2017 by AJ Enterprises (copy enclosed) against the Transferee Company;

(c) The Transferor Company has not attached list of shareholders to e-form MGT-7 for the Financial Year 2015-16. However, as per the Annexure MGT-7, it is noticed that the Transferee Company is not holding 23% shares in the Transferor Company as stated at Clause No.14.1 of the Scheme. Hence, this may need clarification/modification;

(d) Transferee Company's authorized capital does not have preference shares of Series E CCPS Series E1 CCPS in its account. However, Transferee Company allotted the above said shares on 02.08.2017 and 23.06.2017. This requires clarification.

The Petitioner Company through its Director Mr. Riju Ravindran, has filed a reply affidavit dated 05.01.2018 duly notarized on the report of RD which is as follows:

In respect of the 1st observation in the RD Report that, *"The Transferor and Transferee Companies have not filed GNL-1"*, it is submitted that, the GNL-1 Forms were filed by the Transferor Company and the Transferee Company for the original scheme of amalgamation and also for the amended scheme of amalgamation. The forms along with the relevant payment challans are furnished hereto and are marked as Annexure-1.

In respect of the 2nd observation in the RD Report that, *"Serious complaint e-form filed vide SRN J00023958 dated 03.10.2017 by AJ Enterprises against Transferee Company"*, it is submitted that, the said complaint is wrongly filed in respect of the Transferee Company. The Transferee Company is not at all a party to the alleged transactions. It is submitted that on 29th June, 2017, there was a Business Transfer Agreement (BTA) executed between Pearson India Education Services Private Limited and Specadel Technologies Private Limited for the purchase of specific portions of the business of Pearson India Education Services Private Limited being (i) Eudrite Online Content Sale Business and (ii) Tutor Vista Online Tutoring Business. It is further submitted that as per the terms of the BTA, only specified assets and liabilities relating to aforementioned businesses were transferred from Pearson India Education Services Private Limited to Specadel Technologies Private Limited which is a subsidiary of the Transferee Company (Think & Learn Pvt. Ltd.). As per information received from Specadel Technologies Private Limited, the liability relating to outstanding claims made by AJ Enterprises does not form a part of the liabilities transferred to it. With respect to the RD Report it is submitted as follows:

(a) Firstly, the BTA was between Pearson India Education Services Private Limited and Specadel Technologies Private Limited, which is a subsidiary of the Transferee Company. Hence, without admitting to the claims in the complaint, a claim, if any, should be made to the parties to the BTA and is not maintainable against the Transferee Company, which was not a party to the BTA, in any manner whatsoever;

(b) The claimant alleges that there was an amalgamation between Pearson Education Services Private Limited and Think & Learn Private Limited. This is factually incorrect on two counts viz.,

(i) Think & Learn Private Limited was not a party to the business transfer and has not executed the BTA;

(ii) The transaction was in the nature of a business transfer and not an amalgamation, and only specified liabilities were transferred to Specadel Technologies Private Limited, which is only a subsidiary of the Transferee Company. As per information received from

Specadel Technologies Private Limited, the liability relating to outstanding claims made by AJ Enterprises does not form a part of the liabilities transferred to it;

(c) It is further submitted that from the complaint filed it is understood that the claimant has admitted to having issued a No Dues / Full and Final Settlement Letter with respect to the claim made and is now back-tracking on questionable grounds of a day's delay in receipt of payment. Claims if any, should be made with the relevant entity. It is reiterated that neither Think & Learn Private Limited nor its subsidiary, Specadel Technologies Private Limited is in any way related to the alleged claim.

From the above, it is submitted that RD Report is not maintainable against the Transferee Company in any manner whatsoever and hence, we seek that the same be dis-regarded for considering the Scheme of Amalgamation between the Transferor and the Transferee Company. Without prejudice, it is further submitted the findings of the said complaint would have no bearing upon the present scheme of amalgamation as the Transferee Company would be continuing even upon sanction of the Scheme of Amalgamation. Only the Transferor Company have already exercised their vote in respect of the Scheme of Amalgamation.

Regarding 3rd observation in the RD Report that *"The Transferor Company has not attached list of shareholder to e-form MGT-7 for FY 2015-16. However, as per the Annexure I of Form No. MGT 9 attached to the e-form MGT-7 for the FY 2015-16, it is noticed that the Transferee Company is not holding 23% shares in the Transferor Company as stated at Clause No.14.1 of the Scheme"*, it is submitted that, the Transferee Company became a shareholder of the Transferor Company pursuant to a transfer of 2,300 equity shares on July 18, 2016. As such, the MGT-7 filed for the FY 2015-16 does not reflect the transfer. However, the MGT-7 along with relevant payment challan for FY 2016-17 filed with MCA reflects the transfer of shares to the Transferee Company and also reflects the Transferee Company as a shareholder holding 23% equity shares. The said Form MGT-7 along with its payment challan and the extract of the Board Meeting held on July 18, 2016, furnished herein as Annexure-2.

Regarding the 4th observation in the RD Report that *"Transferee Company's Authorised capital doe not have Preference Share of Series AE CCPA Series E1 CCPS in its Account. However, Transferee Company allotted the above said shares on 02.08.2017 & 23.08.2017"*, it is submitted that, before each of the allotments of Series E Compulsorily Convertible Preference Shares (CCPS) on 02.08.2017 and the allotment of Series E1 CCPS on 23.08.2017, Clause V of the Memorandum of Association of the Transferee Company was amended and relevant form SH-7s were filed. The relevant Forms SH-7s along with the payment challan are furnished herein as Attachment 3.

The ROC duly authorised by RD, has submitted its affidavit dated 22.02.2018 received in NCLT on 23.02.2018 vide Sl.No.744 which is as follows:

"(a) I submit that this office has been communicated by the RD, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref: F No. 3/(B)Amal/780/RD(SE)/2017 dated 16.02.2018 stating therein that he being the competent authority on behalf of the Central Government has examined the affidavit dated 05.12.2017 of the Petitioner Company served on the Directorate on 09.02.2018 and stated that upon consideration of the same, it is submitted that the Petitioner's reply to observations made by the Regional Director in his affidavit at para (a) and (c) and (d) are acceptable. In respect of the Petitioner's reply to the Directorate's observation for para (b) regarding complaint made by M/s. AJ Enterprises, it is pointed out that M/s. AJ Enterprises is a creditor of the subsidiary of the Transferee Company and hence it is not entitled to notice under the provisions of Sec. 230-232 of the Companies Act, 2013.

(b) I submit that as regards the complaint filed by M/s. AJ Enterprises regarding non-payment of outstanding dues to the complainant, this office will examine the same and necessary action would be taken in accordance with law."

Hence, it is respectfully prayed that this Hon'ble Tribunal may be please to take into consideration the above observations and to pass such order as deemed fit and proper, in the circumstances of the case.

We have heard the Counsel for the Petitioner, Counsel on behalf of ROC and RD further on 23.02.2018 and considering the material on record, the Scheme appears to be reasonable and the same deserves to be approved subject to the compliance of ROC and RD directions.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee company for all the state and interest of the Petitioner Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013 be transferred to and become the liabilities and duties of the Transferee company; and

All proceedings now pending by or against the Transferor Companies, if any, be continued by or against the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the concerned Tax Authorities shall be binding.

The Transferee Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

The Transferor Company or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the books of accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

This order is subject to the outcome of NCLT, Mumbai Bench, order.

28/3/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

28/3/17

(RATAKONDA MURALI)
MEMBER (JUDICIAL)

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